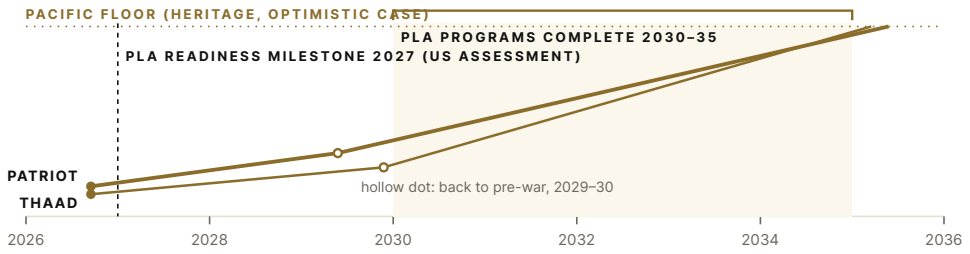
GEOPOLITICAL / DEFENSE · THEMATIC

The Magazine and the Window

Six months of war with Iran were paid for in the munitions a Pacific fight needs. What did they buy, how long is the refill, and who gets paid to close it?

TON618 CAPITAL RESEARCH · PRICES AS OF THE 11 SEPTEMBER 2026 CLOSE; DATA AS OF 12 SEPTEMBER 2026



Two clocks. The refill of the interceptor magazine, drawn as a share of a published Pacific floor, against the window a Taiwan contingency is said to open — the 2027 milestone US commanders say the PLA is building toward, and a Taiwanese estimate of when the PLA's programs complete.

THE SHORT VERSION

Two clocks, and the ships between them

On 28 February the United States and Israel went to war with Iran. Six months later the war has consumed, by the best public estimates, more than a thousand Tomahawk cruise missiles, eleven hundred stealthy JASSM-ERs, two-thirds of the Patriot interceptor inventory and roughly half of THAAD. Those are the same interceptor lines a conflict in the Pacific would draw on first, and the same cruise-missile lines it would draw on within its first month. This note scores the expenditure against the aims that were actually stated, times the refill, sets it against the window for a Taiwan contingency, and names who

gets paid to close the gap — through which channel, and whether that channel is funded.

The read, in one paragraph. The expenditure bought outcomes that are decaying, against aims that moved, and paid for them out of the interceptor magazine the next contingency draws on first. The aims that could be scored early — Iran's launch rate and its fleet — were achieved and are now reversing; the strait and China entered the record as aims after the first strike, and score half-met and split. The lines that paid for it are the ones a Pacific fight draws on first; they return to pre-war only in 2029–30, and at pre-war they were already a fraction of a published floor. The invoice for the refill lands on a budget in which interest already costs more than defense, and the money that would pay it sits in a bill that has not moved. Whether that is a first step toward China or a step away from it turns on which Pacific series a reader weighs, and the note says what each shows. The five findings below carry that read; Parts I–V test it.

The expenditure bought the aims that could be measured early and not the ones that were stated first or added later. Iran's missile launches fell 92% in ten days and its surface fleet was destroyed. The aim named before the first strike — the nuclear program — cannot be scored, because the strikes ended the inspections that would score it. The two aims added later can be: the Strait of Hormuz, first named as an objective on the war's twenty-second day, carries 3–6 ships a day against 85–100 before the war, though Gulf oil reaching market by any route is down only about half; the China-facing economic aim, first named on day 178, has cut off Iran's revenue and not China's supply. In the week this note was written, Iran's proxies closed the Red Sea bypass and Saudi Arabia shut its cross-country pipeline.

The refill runs to 2029–30 — to where the magazine was, not to where a Pacific fight needs it. Patriot back to pre-war in May 2029, THAAD at the end of 2029, the Standard Missiles in early 2029, Tomahawk in late 2030 — on the assumption that every promised production rate is met and every ally waits. Pre-war inventory was already 13–36% of the most optimistic published floor for a conflict with China. Reaching that floor takes five to six years of building for Patriot and THAAD and nine to twelve for the Standard Missiles at planned rates, with unlimited money, after a four-to-five-year wait for first delivery.

The window question does not resolve — and the ships are the least ambiguous answer. Chinese air activity around Taiwan fell 52% while the war ran; Chinese naval presence barely moved; Chinese coast-guard presence set

records; no large exercise was held. Neither theory — that the war deterred Beijing, or that it opened a window — gets the signature it needs. Meanwhile the US Navy's only forward-deployed carrier left Japan for the Arabian Sea, about six Japan-based destroyers are out of the Pacific, and Beijing is offering "coordination on Iran" in exchange for restraint on Taiwan arms sales.

The invoice arrives in the worst fiscal window in the record. Federal interest payments already exceed defense spending. The fiscal 2027 base budget funds *fewer* Patriots, THAADs and Tomahawks than the factories build today; 92% of the Patriot request sits in a reconciliation bill both chambers have sized at one-sixth of the ask; the stopgap funding law bars production-rate increases and refused the multiyear authority the Pentagon asked for.

The primes have booked the refill; the tier below them has not yet seen the orders — and that is where the short interest sits. Lockheed's missile backlog nearly doubled before the largest award was even signed. The companies that make the rocket motors, seekers, castings and electronics say the volume has not flowed down. Six of eighteen names in the supply chain carry short interest at a two-year high and two more — Microchip and MP Materials — have risen two points or more in six months, both on convertible-bond hedging as much as sentiment; a ninth, USA Rare Earth, trips only on a share-count artifact. Of the six, five sit below the primes and the sixth, Northrop, reads on a multi-class share count.

肖 SEVEN NUMBERS THAT CARRY THE NOTE

$1,247B vs $1,198B	Federal interest outlays vs national-defense outlays, annualized, second quarter 2026 — interest is larger
3–6 vs 85	Ships a day through Hormuz now vs before — but Gulf oil barrels reaching market are down only ~40–47%, by routes the war did not open
480 → 40 / 150	Iranian missile launches per day, day one to day ten; Iranian warships destroyed by April — the aims the expenditure visibly bought

<827 / <278	Patriot and THAAD interceptors left after the first phase, against ~2,200 / 452 before — figures a news organization reports as "close to internal government figures"
267 / 27 / 58	Patriots, THAADs and Tomahawks in the fiscal 2027 *base* request — fewer than the lines build today; 2,936 / 830 / 727 more sit in a stalled bill
−52% / −7% / 244 vs 58	Chinese aircraft in Taiwan's air-defense zone; Chinese naval vessels; Chinese government vessels in July vs a year earlier
6 of 18	Refill supply-chain names with short interest at a two-year high — five of the six below the primes; two more up on convertible hedging

[·] THE OTHER SIDE, STATED FIRST

The other side, stated first

The strongest case against this note's reading is written here, before it is tested, in the terms its proponents would choose.

The war forced the ramp. The largest munitions contracts in the Pentagon's history were signed inside the war — a $58.6 billion seven-year Patriot award, a $35 billion THAAD award, a $22.9 billion Tomahawk award, a $4.7 billion propulsion award. Lockheed says it will triple Patriot capacity by 2030; RTX plans more than a thousand Tomahawks a year; Northrop is qualifying as a second motor source. On this reading the 2028–29 magazine is larger than it would have been without the war, because a Congress at peace would have slow-walked every one of those vehicles. *Tested in Part I and Part V.*

Iran was a credibility demonstration that raised Beijing's price. The United States did what no administration since 1979 had done, killed Iran's supreme

leader on day one, struck 13,000 targets in 38 days, and showed it could penetrate defended airspace at scale. Chinese air activity around Taiwan halted the week the war began and has stayed at half the prior year's level for six months. A Brookings scholar in May: "if ever there were a moment of American strategic distraction and depletion of critical munitions inventories, this would be it, and yet Beijing has not seized this opportunity." *Tested in Part II.*

The closed strait is a lever on China, not a Western failure. Nine-tenths of Iran's crude went to China; 38% of China's oil transits Hormuz; the United States is a net exporter. The closure forced Chinese refiners to run below demand for six months and draw stocks. On this reading the aim named on day 178 was the aim all along. *Tested in Part IV.*

The exchange ratio is measured against the asset defended, not the drone. A $4 million Patriot fired at a missile aimed at a carrier, a refinery or a base with thousands of personnel is a favorable trade; the 120-to-1 ratio against a $30,000 drone was mitigated by rationing engagements and cheaper layers. *Accepted; both denominators shown in Part IV.*

The fiscal precedent argues for stretch, not cancellation. When spending caps and sequestration bit in 2011–13, the primes raised guidance and re-rated from about nine times earnings; caps bound budget authority, not outlays, and war funding filled the gap. *Tested in Part V.*

The Pacific lines were not the ones fired. The munitions a Taiwan denial campaign draws on first — anti-ship missiles, torpedoes, stealth-delivered bombs — were not heavily expended against Iran, and the Taiwan Security Monitor's delivery tracker records no Iran-attributed delay to a Taiwan shipment, contradicting a June press report of a "pause" — the two are unreconciled. *Tested in Part I, Table 1: the LRASM and JASSM rows.*

Not testable here, and said so at the Close: the no-war magazine, intent, and expenditure since 8 July.

PART I — THE MAGAZINE

The Magazine

REFILL **2029–30 TO PRE-WAR · MID-2030S TO A PACIFIC FLOOR**

WINDOW **2027 (PLA MILESTONE, US ASSESSMENT) · 2030–35 (TAIWAN MND)**

The Pentagon does not publish expenditure counts. Every figure here is an estimate built from the Pentagon's own procurement and delivery exhibits by the Center for Strategic and International Studies (CSIS), whose method — sum twenty years of deliveries, deduct training rounds and past use — is the standard one, and whose July inventory figures a news organization reported as "close to internal government figures."

The seven lines. The note follows seven munitions because they are the ones the war consumed and a Pacific fight would consume first. Four are interceptors — they stop what is fired at ships and bases — and three are strike missiles. Table 1a says what each is, what makes it distinct, and where its production binds, in the manufacturers' and the Pentagon's own descriptions.

TABLE 1A. THE SEVEN LINES — WHAT EACH IS, AND WHERE ITS PRODUCTION BINDS

LINE (MAKER · UNIT COST)	WHAT IT IS, AND WHAT SETS IT APART	PRODUCTION ISSUE ON THE RECORD
Patriot PAC-3 MSE (Lockheed · $3.9M)	Ground-launched, terminal-phase interceptor against tactical ballistic missiles, cruise missiles and aircraft. Hit-to-kill: no warhead — it destroys the target by collision. The MSE version adds a larger dual-pulse solid rocket motor and larger fins that extend its reach over the earlier PAC-3. The war's workhorse: the most-fired line, and the one whose 120-to-1 cost exchange against drones prompted the lower-cost ACE variant announced in July at "less than half" the MSE price.	620 delivered in 2025 against a target of 2,000 a year by 2030. About half of output goes to allies. The motor is sole-sourced from L3Harris until Northrop's second line qualifies; the seeker is Boeing's, with no announced alternative. Fiscal 2027 asks for 3,203 rounds and puts 92% of them in the stalled reconciliation bill.

LINE (MAKER · UNIT COST)	WHAT IT IS, AND WHAT SETS IT APART	PRODUCTION ISSUE ON THE RECORD
THAAD (Lockheed · $15.5M)	Terminal-phase interceptor that destroys ballistic missiles "inside or outside the atmosphere" by kinetic impact — the layer above Patriot, reaching higher and farther. Cued by the AN/TPY-2, the "largest air-transportable X-band radar in the world." The Army fields eight batteries in total, split between the Middle East and the Pacific.	No interceptor delivered to the US Army since 2023; the next is due April 2027 — the line's output went to Saudi Arabia's 360-round order. Five-year average output 28 a year; the plan is 400 a year by 2029–33. L3Harris makes the boost motor and the steering system, BAE the infrared seeker. Iranian strikes damaged one or more AN/TPY-2 radars. Fiscal 2027: 857 requested, 27 in the base budget.
SM-3 (RTX · $28.7M, Block IIA)	Ship-launched, and from Aegis Ashore, against short- to intermediate-range ballistic missiles in the midcourse of their flight, above the atmosphere — by collision, with no explosive warhead. The only sea-based interceptor in the set that works outside the atmosphere; Block IIA, the larger 21-inch version, is co-developed and co-produced with Japan. One intercepted the Iranian missile fired at Diego Garcia in March.	The longest lead in the set: more than four years from order to delivery on Block IIA. Five-year average 53 a year across both blocks; the plan is about 100 a year by 2029. L3Harris builds the third-stage motor, RTX the seeker. Fiscal 2027 asks 78 Block IB and 136 Block IIA, with 22 of the IIAs in the base budget.
SM-6 (RTX · $5.3M)	The multi-role missile of the set: launched from Aegis ships, from the Army's Typhon ground launcher and, as the AIM-174B, from the F/A-18. An active radar seeker adapted from the AMRAAM air-to-air missile on the Standard Missile airframe gives it three jobs — extended-range air defense against aircraft and cruise missiles, terminal-phase ballistic-missile defense, and strikes on ships. That triple role is why Heritage's Pacific floor for it, about 5,600, is nearly five times the pre-war inventory of 1,160, and why Heritage finds "not even enough SM-6s to adequately loadout the fleet once."	Five-year average 96 a year; about 125 now on one estimate and roughly 250 on another — unresolved; the plan is more than 500 a year by 2029. L3Harris builds the Mk 104 dual-thrust motor, RTX the seeker; 53 months to first delivery. Cells cannot be reloaded at sea. Fiscal 2027: 540 requested, 434 of them in reconciliation.

LINE (MAKER · UNIT COST)	WHAT IT IS, AND WHAT SETS IT APART	PRODUCTION ISSUE ON THE RECORD
Tomahawk Block V (RTX · $2.6M)	Subsonic cruise missile launched from surface ships, submarines and ground launchers against land targets about 1,000 miles away, with a data link for retargeting in flight; the Block Va variant can hit moving ships. The long-range strike round every destroyer and attack submarine carries, and the most-fired strike weapon of the war at more than 1,000.	New-missile procurement was suspended four years early in the sequestration era and averaged 86 a year for the next decade — CSIS's stated cause of the late-2030 restore date. Under 200 a year now, though RTX tripled first-half deliveries; the plan is more than 1,000 a year by 2030. Its Williams F415 turbine engine is sole-sourced from a private company. Fiscal 2027 asks 785 with 58 in the base budget; first delivery from that order, March 2030. Japan's 400 slipped up to two years behind US restocking.
JASSM-ER (Lockheed)	Air-launched stealthy cruise missile: it flies a pre-planned route on GPS and inertial navigation to "greater than 500 nautical miles," then an imaging infrared seeker finds the target for a 1,000-pound penetrating warhead. Carried by the B-1, B-2, B-52, F-15E, F-16 and F-35. The standoff weapon of a denial campaign: CSIS's Taiwan games burn about 4,000 in three to four weeks, and whether it can hit ships — assumed in CSIS's base case, denied in its pessimistic runs — decides whether the anti-ship campaign has thousands of rounds or 450.	Already at surge: five-year average 385 a year, about 600 now, and 860 is the line's 2026 maximum at Troy, Alabama. It shares that line and the Williams F107 engine with LRASM, so a JASSM surge competes with the anti-ship round. About 1,100 fired, roughly a quarter of the pre-war 4,400. Fiscal 2027: 821 requested.
LRASM (Lockheed)	The anti-ship derivative of JASSM-ER: the same stealthy airframe with a sensor suite that lets it navigate "semi-autonomously" to a moving ship at standoff range. Launched from the B-1B, F/A-18E/F, P-8 and F-15, with the F-35 and surface launch to follow. The only long-range air-launched ship-killer in the set, and the one a Taiwan campaign fires first: the global inventory of about 450 "was expended within the first week" in every CSIS iteration. Not materially expended against Iran.	Five-year average about 120 a year, about 200 now, 240 the 2026 maximum — on the same Troy line and F107 engine as JASSM-ER. BAE supplies the seeker. Fiscal 2027: 333 requested. The inventory figure is CSIS's 2023 global count; a current one is not public.

What the first 39 days fired. More than 1,000 Tomahawks from a pre-war 3,100; more than 1,100 JASSM-ERs from 4,400; 130–250 SM-3 ballistic-missile interceptors from 410; 190–370 SM-6 from 1,160; 190–290 THAAD from 360;

1,060–1,430 Patriots from 2,330. Four of the seven lines more than half expended. At CSIS unit costs — $2.6 million a Tomahawk, $3.9 million a Patriot, $15.5 million a THAAD, $28.7 million an SM-3 — the seven represent **$17.3–25.5 billion** fired in five and a half weeks. In the first 96 hours alone, US and allied forces fired about 1,738 interceptors at 565 Iranian ballistic missiles and 57 cruise missiles — roughly 2.8 per incoming, which is the ratio a Pacific planner now has to assume. By late July CSIS put Patriot at "under 1,000" (759–827) and THAAD at "about 250" (234–278). Everything fired since the war restarted on 8 July — the salvo at a US base in Jordan, the September attacks on bases and warships — is in none of these numbers.

What it takes to put it back. Production is the constraint, not money — "the problem today isn't money; it's time," CSIS wrote in May. The lines ran, on a five-year average, at 79 Tomahawks, 96 SM-6, 28 THAAD and 183 Patriots a year. They run faster now — about 620 Patriots were delivered in 2025, RTX tripled first-half Tomahawk deliveries — and the 2026 contracts target 2,000 Patriots and 1,000 Tomahawks a year by 2030, 400 THAADs by 2029–33, more than 500 SM-6 by 2029. Lead time from an appropriation to a first delivery, historically two years, has "stretched to 36 months or more." On CSIS's arithmetic — which assumes every target rate is met and US deliveries come before allies' — the magazine is back to pre-war between early 2029 and late 2030.

One line deserves its own sentence. **No THAAD interceptor has been delivered to the US Army since 2023, and none is scheduled until April 2027.** The 100 rounds bought in fiscal 2021–24 are undelivered; the factory's output went to Saudi Arabia's 360-interceptor order. The Army fields eight batteries — 384 interceptors on launchers plus about 150 reloads — so 200 fired leaves it "short an entire battery" of reloads.

The dependency the refill runs through. Every interceptor above has the same two bottlenecks. The solid rocket motor comes today from one listed company, L3Harris, sole source for the Patriot motor and the THAAD boost motor; Northrop Grumman is qualifying as a second Patriot motor source. The seeker — the guidance sensor — comes from Boeing, BAE and RTX. Every cruise missile — Tomahawk, JASSM, LRASM — flies on a turbine engine from Williams International, a private, sole-source supplier. Below them sit castings, forgings and bearings — Honeywell says constraints in about 2% of its suppliers are holding back "hundreds of millions of dollars of revenue" — and input materials that run through Chinese export controls: antimony, tungsten, rare-earth

magnets, propellant precursors. Iran's own missile line, by the same reporting, depends on Chinese mixers and perchlorate. Both sides of this war refill through the same country.

The requirement that matters. Pre-war inventory is the wrong denominator. The Heritage Foundation's August model of a US–China conflict multiplies China's missile inventory — 900 short-range, 1,300 medium-range and 550 intermediate-range ballistic missiles, plus thousands of cruise missiles — by the Iran-war shot doctrine and arrives at a baseline need of 19,370 Patriots and 5,525 THAADs. Stacking three optimistic assumptions — half of China's missiles never launched, two interceptors per missile instead of three, ships' interceptors diverted to land — gives a *floor* of 7,082 Patriots, 1,394 THAADs, about 5,600 SM-6 and 1,100 SM-3. "Not a comfortable target," the report says. Twelve percent of China's intermediate-range missiles, at three THAADs each, would consume 198 interceptors against a single defended base — more than the United States has. For strike missiles, CSIS's Taiwan wargames — run two dozen times — expend about 5,000 long-range missiles in three to four weeks: 4,000 JASSMs, 450 LRASMs, 400 Tomahawks. The entire LRASM inventory, about 450, "was expended within the first week of the conflict" in every iteration.

EXHIBIT 1 The magazine — seven lines, drawn as twenty rounds each, against the Pacific requirement

EACH ROW: 20 ROUNDS = THE PRE-WAR INVENTORY · FILLED = STILL IN THE MAGAZINE · HOLLOW = FIRED IN IRAN

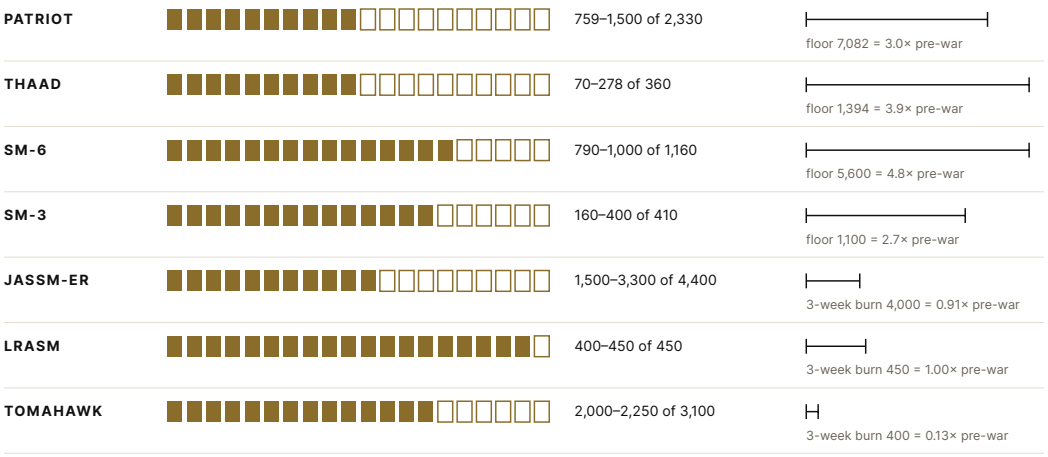


TABLE 1. WHAT IS LEFT, AGAINST WHAT A PACIFIC FIGHT NEEDS

MUNITION	REMAINING (RANGE OF ESTIMATES)	REQUIREMENT	BASIS	COVERAGE	BUILD-YEARS TO REACH IT AT PLANNED RATES, UNLIMITED MONEY (+ WAIT FOR FIRST DELIVERY)
Patriot	759–1,500	7,082	Heritage floor (baseline 19,370)	11–21%	5.6–6.3 (+3.5 yrs)
THAAD	70–278	1,394	Heritage floor (baseline 5,525)	5–20%	4.7–5.5 (+4.4 yrs)
SM-6	790–1,000	~5,600	Heritage floor	14–18%	11.5–12.0 (+4.4 yrs)
SM-3	160–400	~1,100	Heritage floor	15–36%	8.8–11.8 (+5.3 yrs)
JASSM-ER	1,500–3,300	4,000	3-week wargame burn	0.4–0.8×	1.2–4.2 (+4 yrs)
LRASM	400–450	450	gone in week 1, every game	0.9–1.0×	—
Tomahawk	2,000–2,250	400	3-week burn; ships out of range until week 4	5×+	—

Build-years net out the allied share of each line — half of Patriot per CSIS; 20–40% on the others, house assumptions — and exclude lots already on contract. If allies are sequenced behind US replenishment, as Part III finds by policy, the Patriot build-years roughly halve and THAAD's fall by about 40%. The direction survives every caveat in the ranges: the refill clock to *pre-war* and the requirement clock to a *Pacific floor* are different clocks, and full restoration in 2029–30 returns the magazine to a level already scored at a fraction of the floor. At sea the number is smaller still. The Navy has no fielded way to reload missile cells at sea — one test in 2024, one moored exercise in 2025 — so a destroyer

that empties its cells leaves station for two weeks. Against about 1,000 SM-6 on hand, Heritage's arithmetic says "there are not even enough SM-6s to adequately loadout the fleet once."

[·] PART II — THE WINDOW

The Window

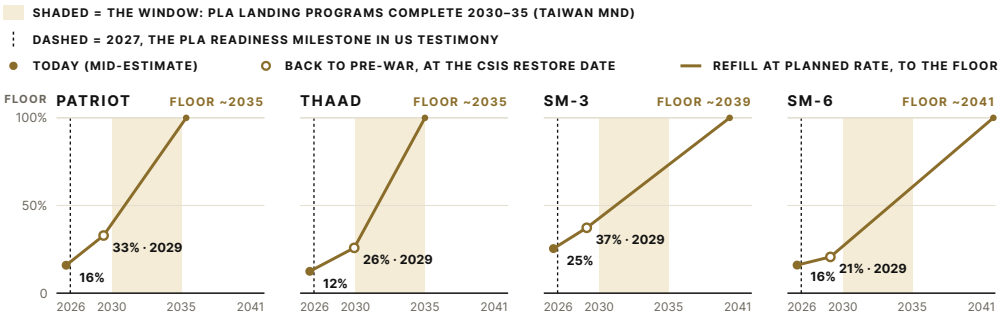
月 REFILL **2029–30 TO PRE-WAR** [·] WINDOW **A RANGE, NOT A DATE**

Part I set the refill clock: pre-war in 2029–30, a Pacific floor in the mid-2030s for Patriot and THAAD and the end of the decade or later for the Standard Missiles. This Part sets the other clock against it — the window for a Taiwan contingency — and asks whether the war moved it.

What the window is. No Chinese document sets a near-term date for unification; the only date in Party documents is 2049. Xi Jinping's New Year address called reunification "unstoppable" and gave no year; his foreign minister in March gave no timetable. The year that circulates, 2027, is the PLA's centenary readiness milestone, and the belief that Beijing wants to be *ready* by then rests on US intelligence testimony. US intelligence itself, in March: Chinese leaders "do not currently plan to execute an invasion of Taiwan in 2027" and have no fixed timeline. The commander of US forces in the Pacific, the same month: the PLA "is on track to achieve military readiness for a forced unification with Taiwan by 2027." Taiwan's defense ministry, in September: the PLA's landing-force programs complete "in stages between 2030 and 2035." And the PLA's own leadership has been gutted — the Central Military Commission's vice chairman and its joint staff chief removed in August after a January investigation, 41 of 47 three-star officers appointed since 2022 purged or likely purged, which one assessment reads as pushing the PLA's own clock past 2027. The market prices a Chinese invasion by end-2026 at 3.8% and by end-2027 at 11.5%.

The window, honestly, is a range. Against it, the refill to pre-war (2029–30) falls inside the Taiwanese estimate and outside the American one, and the Pacific floor falls inside neither. Where the two clocks nearly meet, they meet because the PLA's disruption moved the window right, not because the Iran expenditure moved the magazine.

EXHIBIT 2 The two clocks — four interceptor refills as a share of the Pacific floor, against the window



How to read it. One panel per interceptor line. The vertical axis is the inventory as a share of the Pacific floor in Table 1, so 100% means the floor is reached. Each line starts at today's mid-estimate (filled dot), climbs back to the pre-war level at the CSIS restore date (hollow dot), then continues at the planned production rate until it meets the floor. The shaded band is the window Taiwan's defense ministry gives for the PLA's landing programs; the dashed line is 2027, the PLA readiness milestone in US military testimony. **What it shows.** Every line gets back to pre-war only in 2029, at 21–37% of the floor. Patriot and THAAD reach the floor in the window's final year, 2035; SM-3 and SM-6 reach it after the window closes, in 2039 and 2041.

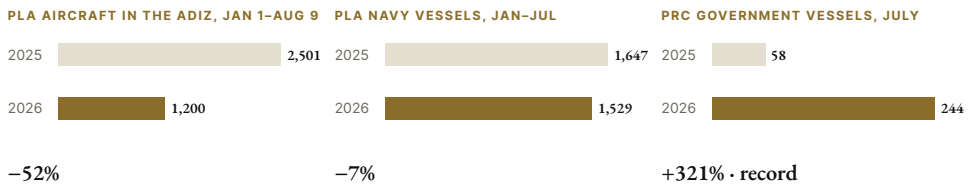
The sign test. If the war changed Beijing's calculus, the change should show in what the PLA does around Taiwan. Two theories predict opposite signs: deterrence predicts less pressure, an opened window predicts more. Taiwan publishes the data daily, and it has to be read as three series.

TABLE 2. CHINESE ACTIVITY AROUND TAIWAN, 2026 VS 2025 (Taiwan Ministry of National Defense and Coast Guard Administration)

SERIES	2025	2026	CHANGE
PLA aircraft in Taiwan's air-defense zone, Jan 1–Aug 9	2,501	1,200	**−52%**
PLA Navy vessel sightings, Jan–Jul	1,647	1,529	**−7%**
Chinese government (non-warship) vessels, July	58	**244**	record; ~60% coast guard
Named large-scale exercise	two	**none**	—

Windows differ by series because the sources publish them so: the air series is year-to-date, the navy series January–July, the government-vessel series a single record month; the same vessel series counts 1,247 since permanent east-of-Taiwan patrols began in May.

EXHIBIT 3 Three series, three signs — Chinese activity around Taiwan, 2025 vs 2026



The air series and the war line up in time: PLA flights halted completely from 27 February to 5 March, the week the war began, and have run at or below the two-year floor since — well past the seasonal lull that usually explains such dips. The sea series does not line up with deterrence: naval presence barely moved, and the coast-guard surge began in June, before the ceasefire collapsed, when Chinese vessels started "law enforcement" patrols east of Taiwan, radioing merchant ships for their origin and destination and, by Taiwan's assessment, mapping the seabed for anti-submarine warfare. What Chinese sources say about the war is expert commentary — a former PLA Air Force colonel drew a *defensive* lesson from Iran's penetration of Patriot and THAAD — not state position; no official Chinese statement frames US depletion as an opportunity.

Air down, sea flat, coast guard at records, no exercise. That is not the deterrence signature and not the window signature. It is the signature of an adversary changing the instrument of pressure — from air to sea, from military to jurisdictional — on a timetable that coincides with its own purge as much as with the war.

The ships. Positions are the least ambiguous data in this note. Five days before the war, USS *George Washington* — the Navy's only forward-deployed carrier — was in port at Yokosuka, Japan. On 8 September she was in the Arabian Sea with a second carrier group and an amphibious group, along with nine independently deployed destroyers, four of them Japan-based; the carrier that had been in the South China Sea was homebound after 293 days at sea; the Navy said "there will soon be no carriers available in Asia" and called it "a strategic advantage, not a vulnerability." Counting Japan-based hulls in the Middle East gives about six of the roughly ten to twelve Yokosuka destroyers — on the order of 560–580 missile cells — out of the Pacific. Japan's own order of 400 Tomahawks, due by 2028, slipped up to two years because the United States needs to restock first. When *George Washington* sailed west, a CSIS analyst said the administration was "doing the exact opposite" of its stated

Pacific priority; a Hudson analyst said China would use the gap to tell the region "the U.S. is not the big dog in the western Pacific anymore."

The linkage. On 13 September Beijing threatened to cancel the 24 September Washington summit if the United States approves new Taiwan arms sales, called Taiwan the "most important issue," and "signalled willingness to coordinate with Washington on the issue of Iran." The President has called arms sales a possible "very good bargaining chip." That is the Iran war and the Taiwan window in one sentence: the help Beijing offers on the first is priced in restraint on the second. It is the clearest evidence in the record that the two theaters are connected. It reads both ways: toward the window, because the price of the help is Taiwan; and toward deterrence, because Beijing is offering something on Iran it did not offer before the war.

PART III — THE SUPPLY CHAIN, AND WHO GETS PAID

The Supply Chain, and Who Gets Paid

REFILL **CONTRACTED AT THE TOP, NOT YET ORDERED AT THE BOTTOM** [·] WINDOW —

Two clocks, then: a refill that runs to 2029–30 and a window that is a range. Closing the gap between them is a purchase, and this Part follows the money. A contractor is paid for the refill through one of six channels; the disclosures since February let each be scored — and they show a refill that is contracted at the top and not yet ordered at the bottom.

TABLE 3. WHO BUILDS THE REFILL

TIER	CHOKEPOINT	WHO	STATUS
Primes	Final assembly	Lockheed Martin (Patriot, THAAD, JASSM/LRASM, PrSM); RTX (Standard Missile, Tomahawk); Boeing; Northrop; General Dynamics	$58.6B Patriot, $35B THAAD, $22.9B Tomahawk multiyears signed Jun–Aug
Solid rocket motors	The ramp's hard floor	**L3Harris** — sole source for Patriot and THAAD motors today; **Northrop** — second Patriot source in qualification; Kratos	L3Harris $4.7B award 8 Sep; new plants operational 2027

TIER	CHOKEPOINT	WHO	STATUS
Seekers	Long-lead sensors	Boeing (Patriot), BAE (THAAD, LRASM), RTX (Standard Missile); Honeywell (navigation)	Boeing framework to triple, signed 1 Apr
Turbine engines	Cruise-missile propulsion	**Williams International** — private, sole source for Tomahawk, JASSM and LRASM	no second source announced
Electronics and structures	Processors, memory, actuation, airframes	Mercury, Microchip, Teledyne, Curtiss-Wright, Ducommun, Moog	"not yet flowed down"
Castings, forgings, bearings	Binds first	Honeywell and its ~3,000 suppliers	constraints in ~2% of suppliers
Inputs under Chinese export control	Antimony, tungsten, rare-earth magnets, propellant precursors	MP Materials, Perpetua, USA Rare Earth	$113B for the industrial base sits in the stalled reconciliation bill
Allied demand for the same slots	Foreign military sales	Saudi 730 Patriots, Qatar 300, Kuwait 500; Japan 400 Tomahawks (slipped); Poland 821 JASSMs	$96.8B notified in 2026 through 11 Sep

Channel 1 — the multiyear awards (booked at the primes). Lockheed's Missiles and Fire Control segment grew sales 19% in the second quarter on Patriot and THAAD ramps and nearly doubled its backlog to $87.9 billion on the THAAD award alone — the $58.6 billion Patriot award, signed after the quarter closed, is not yet in that number. RTX's Raytheon segment booked $19.9 billion against $8.3 billion of sales (a book-to-bill ratio — orders over sales — of 2.42) and says it "more than doubled" critical-munitions output in the first half. Northrop reports ten multiyear missile agreements in work worth up to $10 billion. L3Harris values its seven-year propulsion framework at "approximately $12 billion of future production revenue and $2 billion of future profit" — a 16.7% margin against 12.3% in the segment today.

Two facts qualify the channel. None of the 2026 seven-year awards discloses a unit price or a price lock; all are undefinitized contract actions or frameworks still

under negotiation, and the documented savings on the previous Patriot multiyear were about 3%. And only year-one money is real: of the April $4.76 billion Patriot award, $265 million came from the US Army and $4.5 billion — 94% — from foreign customers; the THAAD award obligated $843 million; the Tomahawk award about $257 million. Roughly $110 billion of contract ceilings depend on appropriations that today consist of a stopgap law and a placeholder.

Channel 2 — foreign military sales (notified, not delivered). Gulf cases announced on 19 March used the emergency waiver that bypasses congressional review; Saudi Arabia's 730 and Qatar's 300 Patriots alone are four times the US base request on a line that builds 600–650 a year. No prime discloses how it sequences allied deliveries against US replenishment; the policy is visible only in its effects — Japan's Tomahawks slipped, Switzerland was warned of "up to five years" on Patriot, warnings went to Poland, Norway and the Baltics.

Channel 3 — the base budget. Flat, and frozen under the stopgap law (Part V).

Channel 4 — government-funded capacity. A $1 billion government investment in L3Harris's missile business in April; a few tens of millions of Defense Production Act awards into the motor chain; $500 million for the rocket-motor industrial base in last year's reconciliation. Lockheed itself is committing $8–9 billion through 2030; L3Harris is building about sixty new facilities. The state pays for the tooling and the contractor keeps the return on it — but the large version of this channel, $113 billion, is in the bill that has not moved.

Channel 5 — sole-source pricing power. Every interceptor motor runs through L3Harris today; Northrop's second source is in qualification; Boeing's Patriot seeker and Williams' engines have no announced alternative. Whether L3Harris's 16.7% framework margin survives Northrop's qualification is the channel's open question.

Channel 6 — allied competition for slots. See Channel 2: allies bid for the same production, and are sequenced behind US replenishment by policy.

The disclosure gap that decides the restore dates. The primes report the awards as booked. The tier below reports the volume has not arrived. Ducommun's missile revenue is up 68%, Patriot its largest program — but its record backlog *excludes* its share of the seven-year frameworks "still being negotiated." Moog says the Patriot and THAAD step-ups "have not yet flowed down." Microchip's chief executive says the primes are asking about "4x to even

4x to 8x" increases but "we are seeing only the front end of the orders on missiles." Honeywell's international defense sales fell on supply constraints "despite exceptional demand." CSIS's restore dates *assume* the target rates are met; the Pentagon's comptroller says "we expect them to meet the ramp rates they agree to"; the manufacturers told the President in June that appropriations, not frameworks, justify the capital to expand.

How the market prices it — three tiers, not one trade. On enterprise value to operating cash earnings, the primes span 14–35 times — Lockheed 14.7, Northrop 14.2, General Dynamics 16.9, RTX 21.5, Boeing 34.9 on a low-margin base year — with L3Harris, the motor maker, at 16.5; four of the five — Boeing's is negative — carry free-cash-flow yields of 3–6%, with trailing earnings rising into the ramp. The electronics tier trades at 24–39 times on trough earnings. The ramp and input names — Kratos, AeroVironment, Mercury, Ducommun, MP Materials, Perpetua, USA Rare Earth — carry no fiscal-year multiple at all and every one is free-cash-flow negative. Government-funded capacity is what makes that survivable, and it sits in the stalled bill.

Where the shorts are. Short interest is descriptive — it says how the market is positioned, not what happens next, and the borrow fee that would fuel any squeeze is unobserved. Read against each name's own two-year history, it is unremarkable at the primes: RTX at the 50th percentile of its own range, Lockheed the 58th, General Dynamics the 62nd. It sits at or near two-year highs in the tier that physically binds the refill (Northrop also trips the level test, at the 88th percentile, but on a multi-class share count that the house reads with caution): L3Harris at the 94th percentile (the sole motor source), Ducommun at the 92nd with a slow-to-cover short (an entrenched position in the name whose missile revenue is up 68%), Curtiss-Wright and Mercury at the 98th, Honeywell at the 85th. Each of those five series began rising in late February. The market is not positioned against the primes' booked backlog; it is positioned against execution in the second tier — exactly where the disclosure gap is.

PART IV — THE OBJECTIVES LEDGER

The Objectives Ledger

REFILL **WHAT THE EXPENDITURE BOUGHT** WINDOW **SCORED ON EACH AIM'S OWN OBSERVABLE**

Parts I and III priced what the war consumed and who is paid to replace it. This Part scores what it bought, and it comes after the magazine on purpose: the price has to be known before the gain can be weighed against it.

An objective enters this ledger on the day it first appears in official language. Whether it was stated before the first strike or after it is a fact of the record. Each is then scored on its own observable.

What was said, and when. The pre-war statement of 19–20 February set a deadline for a nuclear deal — "They can't have a nuclear weapon, it's very simple" — and mentioned neither the strait, nor oil, nor China. The opening video of 28 February named the aims in this order: "eliminate imminent threats"; "destroy their missiles and raze their missile industry"; "annihilate their navy"; ensure "terrorist proxies can no longer destabilize the region"; "ensure that Iran does not obtain a nuclear weapon"; and, to Iranians, "take over your government." It contains no reference to Hormuz, oil, gasoline prices, China or a deal. The strait entered the record on **21 March, day 22** — a 48-hour ultimatum to "FULLY OPEN" it — three weeks after Iran had closed it; the Associated Press's six-month review notes reopening Hormuz "was not one of Trump's original objectives." The blockade of Iranian ports began on **day 45**. The China-facing aim entered on **24 August, day 178**, when the Treasury Secretary announced sanctions on "any nation that serves as a financial artery of a withering regime." Regime change — the day-one aspiration — was disowned as an aim on day 3, declared achieved on day 30, called something the President "never cared about" in June, and revived on 1 September.

TABLE 4. OBJECTIVE × FIRST STATED × READING

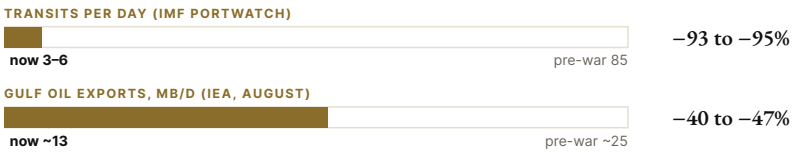
OBJECTIVE AS STATED	FIRST STATED	READING, 12 SEPTEMBER	SCORE
No nuclear weapon; dismantle enrichment	pre-war	440.9 kg of uranium enriched to 60% was last verified on 13 June 2025; inspectors have had no access to any struck site since; Iran has not disclosed the location of a fourth enrichment plant; on 9 September the IAEA's board referred Iran to the UN Security Council by 23 votes to 3 with 8 abstentions — China, Russia and Niger against — the first such referral in twenty years. Tunnel entrances at Fordow and Isfahan remain sealed, consistent with the program being destroyed and the material not retrieved. The June memorandum's downblending clause never executed.	UNKNOWN **UNKNOWN.** The aim stated first cannot be scored either way, because the operation that pursued it ended the verification that would score it.
Destroy the missile arsenal and production	day 1	Launches fell from 480 on day one to 40 on day ten. US intelligence put half the launchers intact and more than a thousand medium-range missiles retained after five weeks. Iran fired at US bases in July and September and at a US carrier and destroyer on 5 September. The *Wall Street Journal* reported on 10 September that assembly resumed in June at underground sites from stockpiled parts — "at least several hundred" missiles — while the Pentagon says it destroyed "up to 90 per cent" of the industrial base.	DEGRADED **Degraded, reconstituting.** Launch capacity was broken in ten days; production is not gone — though assembly from stockpiled parts, with mixers and propellant plants still down, is not the pre-war line, and no source quantifies the sustainable rate.
Annihilate the navy	day 1	150 warships and every submarine destroyed by April. Yet as much as 80% of mine-laying capacity survived the first two weeks, Iran's Hormuz defense is "largely land-based," and on 5–9 September the IRGC fired at two US warships, claimed strikes on eight to ten tankers, and declared a restricted zone from Chabahar into the Gulf of Oman.	FLEET GONE **Fleet destroyed; sea-denial intact.**

OBJECTIVE AS STATED	FIRST STATED	READING, 12 SEPTEMBER	SCORE
Sever the proxies	day 1	The Houthis resumed strikes on Israel in March, hit Saudi tankers in July and August, and on 10–11 September seized Yemen's entire Red Sea coast including Perim island in the Bab el-Mandeb. Saudi Arabia shut its 4–5 million-barrel-a-day East-West pipeline — the Hormuz bypass — on 11 September after drone strikes attributed to Iran-aligned Iraqi militias. The President declined the Saudi Crown Prince's request for strikes on the Houthis.	NOT ACHIEVED **Not achieved.** The proxies closed the bypass in the war's twenty-eighth week.
Regime change	day 1 (aspiration), oscillating since	A new supreme leader; the Revolutionary Guard and the constitutional structure intact; the successor described as more hardline.	PERSONNEL **Personnel changed; regime not.**
Open the Strait of Hormuz	**day 22**	*As a shipping lane:* 3, 6 and 6 transits a day on the three latest weekly counts against 85 before the crisis — down 93–95%. *In barrels:* Gulf oil exports about 13 million barrels a day in August against roughly 25 before the war; Middle East crude exports down 39% from the January–February baseline, the shortfall narrowed from 12.4 mb/d in May to 7.2 in August. The gap between the two is tankers transiting with transponders off, ship-to-ship transfers outside the strait, and bypass pipelines — Kuwait and Qatar restored ~70% of their exports, the UAE reached pre-crisis levels in June. The administration's own count — ">17 mb/d transited on 31 August"; "30 ships a night" — is rejected by every independent tracker. About a quarter of what remains closed is Iran's own exports, closed by the US blockade.	HALF-MET **Half-met in barrels; unmet as a lane** — and a quarter of the closure is a US choice.

OBJECTIVE AS STATED	FIRST STATED	READING, 12 SEPTEMBER	SCORE
The blockade (economic coercion)	day 45	Iranian loadings from ~2 mb/d in March to 220–260 kb/d in August; no laden Iranian crude cargo has left the Gulf of Oman past the blockade since 14 July, on which Kpler, Vortexa and TankerTrackers agree; the floating stock outside the line drained from ~90 million barrels to ~29 million, running out around mid-October.	ACHIEVED **Achieved on its own terms** — and it is the mechanism that keeps the strait row unmet.
Deny China Iranian energy	**day 178**	China's intake of Iranian crude: 1.4 mb/d before the war; 785 kb/d in June, 823 in July, **534 in August**; near zero from late September absent a deal or a breach. *But* China's supply is not denied: Russia now sends ~2.7 mb/d by sea and pipeline; Saudi Aramco is delivering September cargoes to Chinese refiners by ship-to-ship transfer outside the strait; China holds 1.2–1.4 billion barrels of stock and is drawing 0.5–1 mb/d; refinery runs are recovering toward 13.5 mb/d by October. China's answer to the sanctions threat was defiance; no Chinese bank has been designated.	SPLIT **Split: Iran's revenue denied; China's supply not** — and stated only in the war's twenty-sixth week.
Domestic mandate	—	Support 37%, oppose 55%; the House twice voted to end the war, the Senate once; the official cost rose from $25 billion in April to $37.5 billion in July; 19 service members and a contractor killed, 820 wounded.	—

What the dates show. Read down the column: the aims stated before the first strike are the nuclear program, the missile force, the navy, the proxies and an invitation to the Iranian people. The strait enters on day 22, after Iran had closed it; the blockade on day 45, after talks failed; the China aim on day 178, after the memorandum collapsed and the strait had been shut for most of six months. Read across: the aim stated first cannot be scored; the two the war visibly achieved are the two now visibly reversing; the proxy aim was scored by the Houthis in the week this note was drafted; the strait is half-open because Gulf producers learned to route around it; and the aim that arrived last splits cleanest — Iran's revenue gone, China's supply intact.

EXHIBIT 4 Two ways to measure a strait — the lane and the barrel



The ratio. The note promised dollars fired per unit of aim achieved. Against the strait, $17.3–25.5 billion of the seven key munitions bought a lane at 3–6 ships a day, or Gulf barrels at half — the ratio depends on the metric, so the note prints both metrics rather than a number. Against the launch rate, the same expenditure bought a 92% reduction in ten days — the cleanest exchange in the ledger, and the one now qualified by resumed production. On the interceptor exchange itself: a THAAD at $15.5 million, an SM-3 at $28.7 million, a Patriot at $3.9 million, against a drone at $20,000–50,000 and a ballistic missile at $0.5–2 million — 18-to-1 against the missile, 120-to-1 against the drone. The other denominator is the asset defended: Al Udeid, Fifth Fleet headquarters in Bahrain (damaged; logistics shifted 2,200 miles to Diego Garcia, where an SM-3 intercepted an Iranian missile in March), Kuwait's hubs, Gulf refineries, carriers. Forces rationed engagements to predicted impact points and a Patriot variant at "less than half" the cost was announced in July. Both denominators are true.

PART V — THE LOOP

The Loop

REFILL **$70.5B REQUESTED; 55% IN A STALLED BILL**

WINDOW **FIVE LEGISLATIVE WEEKS AFTER 3 NOVEMBER**

The ledger leaves a bill: a refill to a Pacific floor that Part I timed in build-years and Part III found ordered only at the top of the chain. This Part follows where the money to pay it comes from, and why the strait the war did not reopen makes that money dearer.

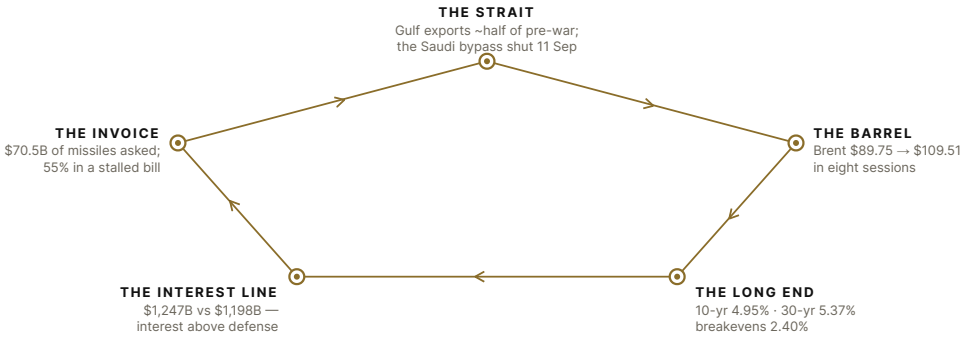
$1,247B *vs* $1,198B

Federal interest outlays against national-defense outlays, annualized, second quarter 2026. The refill lands on a budget whose fastest-growing line is the one that pays for the last war.

The anchor fact. In the second quarter of 2026, federal interest outlays ran at $1,247 billion a year; national-defense outlays ran at $1,198 billion. The Congressional Budget Office has interest above defense in every year to 2035 and at $2.1 trillion by 2036. Through ten months of fiscal 2026 net interest was up $117 billion (14%) year on year — the largest increase in the budget — on higher long-term rates; the eleven-month figure is about $111 billion (12%). The rebuild in Part I lands on a budget whose fastest-growing line is the one that pays for the last war.

The mechanism. A strait the war's stated aims did not reopen keeps the barrel high: Brent went from $89.75 on 28 August to $109.51 on 9 September, up 22% in eight sessions after the tanker exchanges began, and the Saudi bypass shut two days later; the Strategic Petroleum Reserve is at 40% of capacity, its lowest since 1982. The barrel keeps the long end high: the ten-year Treasury at 4.95%, the thirty-year at 5.37%; war-risk insurance for a Hormuz transit at roughly 30–60 times pre-crisis on the reporting available. The long end grows the interest line — CBO attributes the increase to the debt stock and "higher long-term rates." And the interest line is the competitor for the money that would refill the magazine. The note claims the direction and the timing of each link, not a coefficient. The strait's remaining closure is the mechanism that tightens the constraint on repairing the war's cost.

EXHIBIT 5 The loop — five links, each with a dated reading



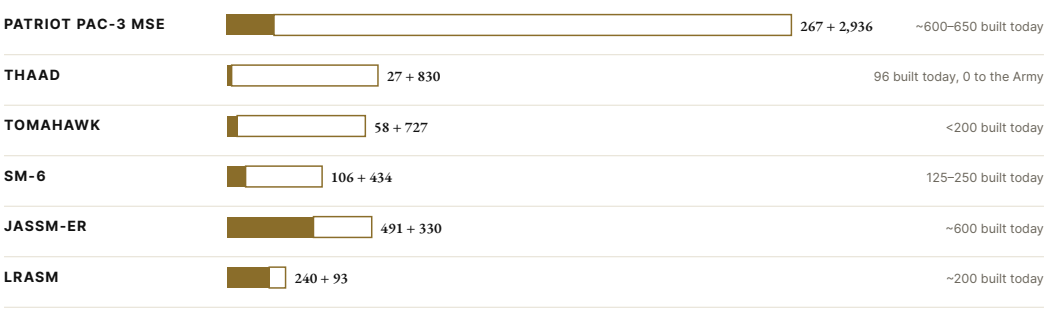
The fiscal window. There are no statutory spending caps this year; the constraint is process, and the process has stalled at every stage.

TABLE 5. WHERE THE FISCAL 2027 MUNITIONS REQUEST SITS

LINE	IN THE BASE BUDGET	IN RECONCILIATION	TOTAL REQUESTED	SHARE IN RECONCILIATION	BUILT TODAY, PER YEAR
Patriot PAC-3 MSE	**267**	2,936	3,203	**92%**	~600–650
THAAD	**27**	830	857	97%	96 (all for export); 0 to the Army
Tomahawk	**58**	727	785	93%	<200
SM-6	106	434	540	80%	125–250
JASSM-ER / LRASM	491 / 240	330 / 93	821 / 333	40% / 28%	~600 / ~200
All missile procurement	$33.9B	$36.6B	$70.5B (+188% on 2026)	55%	—

Three of the four most-expended lines are funded in the base at *less than the factories build today*. The Pentagon put the rest in a $350 billion reconciliation request because, its comptroller said, munitions were "kind of a one-time plus up"; the House appropriations chair replied, "I would put your priority needs either in the base budget or in the supplemental," and his committee called the split "risky and uncoordinated."

EXHIBIT 6 Where the fiscal 2027 request sits — base budget vs the stalled reconciliation, per line



The stopgap law that funds the government through 11 December bars production-rate increases above last year's and bars new multiyear contracts; it refused the Pentagon's request for multiyear authority on the five lines depleted in Iran, which the White House had warned could leave the government "incur[ring] cancellation liabilities" on contracts it cannot order against. Both chambers' budget resolutions provide $60 billion for defense against the $350 billion — one-sixth — and the Senate has not adopted its own; a Capital Alpha analyst put the odds of a reconciliation bill at 15%; the Pentagon's comptroller said on 10 September the department may fall back to cutting or deferring other programs to 2028. The $87.6 billion war supplemental — $21 billion of it for munitions, only a third of that replacing war use by CSIS's count — had "no forward path" as of late August; the Senate Appropriations ranking member said the committee would not "rubber stamp a request to bankroll this war." Between the 3 November election and the 11 December expiry lie about five legislative weeks.

The precedent, both ways. When the Budget Control Act capped defense in 2011 and sequestration bit in 2013, the primes raised guidance, beat estimates and re-rated from about nine times earnings; the S&P Aerospace & Defense index reached its highest level since 2008 within four months. The cut landed elsewhere: contract obligations to small and medium firms fell 19% against 9% at the six largest primes; the Pentagon's own plan cut munitions 10% and 531 AMRAAMs; Tomahawk new-missile procurement was suspended four years early and averaged 86 a year for the next decade — which CSIS names as the direct cause of the 2029–30 restore dates. The precedent says: the primes re-rate, the magazine and the second tier take the cut. Two things 2011 had that 2026 lacks: an off-budget war-funding vehicle that filled the gap (this year's version, the

supplemental, has no path), and a magazine that had not already been shrunk by the last underbuy.

CLOSE

First step or step away?

The question has three data answers and they do not agree. **The ships say first step:** the only forward-deployed carrier is in the Arabian Sea, its relief is reported to be going there too, six Japan-based destroyers are out of the Pacific, there is no reload at sea, Japan's missiles slipped two years. **The counts say neither:** air down, navy flat, coast guard at records, no exercise — an adversary changing instruments on its own timetable. **The contracts say the window is far and the magazine is farther:** single-digit market odds through 2027, no invasion plan per US intelligence, PLA programs completing 2030–35 — against a refill to pre-war in 2029–30 and to a Pacific floor in the mid-2030s for Patriot and THAAD, and 2039–41 for the Standard Missiles, with unlimited money.

Put the five Parts in one line: *the expenditure bought outcomes that are decaying, against aims that moved, paid out of the interceptor magazine the next contingency needs, on a refill that runs to the end of the Taiwanese window and beyond it, and lands on a budget where interest already outspends defense.* The honest sentence on the title question follows from it: *the war moved US forces west and drained the lines a Pacific fight needs; the adversary it was meant to impress did not visibly move, and is now offering to help with Iran in exchange for restraint on Taiwan.* Which of the three series a reader weighs decides whether that is a first step or a step away. The note's job is to say what each series shows, and it has.

> **What would change this read.** Deliveries on any key line at 1.5× the pre-war rate for two quarters *and* fiscal 2027 lots placed on the multiyear vehicles before 11 December — the "execution" case would be right. All three Chinese series down over a rolling 90 days — the deterrence signature; a named large exercise with coast-guard presence still at records and the Pacific still thin — the window signature. Gulf oil exports back above 20 million barrels a day for 30 days — the strait scored met. China's "Malaysian" crude imports and total seaborne imports both falling for two months — energy denial would be real on Chinese supply, not only Iranian revenue. A full-year defense bill or a

> reconciliation with the munitions tranche enacted in the lame-duck session — the process wall falls. Inspectors readmitted and the 60% stockpile verified in any quantity — the note's central "unknown" becomes a number. No Iranian launch at US forces for 90 days and no reported re-import of mixing equipment — the missile row scores achieved.

What the note cannot settle. Expenditure since 8 July, which no public source quantifies. The classified counts themselves — every figure is an estimate and the ranges are the honest form. Intent — whether the strait or China was the purpose from the start is not measurable; the dates stand in for it. The counterfactual magazine. Whether Beijing's absence of a timeline is intent or posture. And the three-fold gap between the administration's Hormuz figures and every independent tracker's — the note scores on the trackers and says so.

Tripwires. Ten dated observables decide whether this read holds, each with what the note reads if it never arrives: delivery rates by line (silence: the ramp is a ceiling, not a rate); the three Taiwan series and any named exercise (silence: the window is China's clock alone); carrier- and destroyer-days by theater, and where *Theodore Roosevelt* goes; Gulf oil exports and Hormuz transits; the IAEA's next board report (silence: the primary pre-war aim stays unscorable); China's "Malaysian" crude line by month; the fiscal 2027 outcome by 11 December (a second stopgap: the 2011 pattern by process); Defense Production Act awards naming a second-tier supplier and Northrop's motor qualification date; foreign-sales notifications on the same lines; and a ten-point move in the market's Taiwan ladder dated against a war milestone or the 24 September summit.

APPENDIX

Sources & method

Every inventory and expenditure figure is an estimate from the Pentagon's public procurement and delivery exhibits (CSIS, *Last Rounds?*, 24 April 2026; *Rebuilding U.S. Missile Inventory*, 27 May; interceptor update, 27 July; CNN corroboration, 29 July), shown as ranges; the Pacific requirement is the Heritage Foundation's 4 August 2026 model and CSIS's Taiwan wargame series (2023; Select Committee deck; May 2026 brief). Fiscal figures: FRED series A091RC1Q027SBEA, FDEFX, DCOILBRENTEU, DGS10, DGS30, T5YIE (12 September 2026); CBO February outlook and August monthly review; CRS R49023 on the fiscal 2027 request; the continuing resolution's text; House Report 119-715. Taiwan activity: Ministry of National Defense and Coast Guard Administration releases as compiled by AEI (1 September), the Taiwan Security Monitor and Taipei Times; fleet positions: USNI News Fleet and Marine Tracker (23 February, 9 March, 8 September). Hormuz and flows: IMF PortWatch, IEA September Oil Market Report, EIA

Short-Term Energy Outlook (9 September), Kpler, Vortexa and TankerTrackers as reported by Reuters, Al Jazeera, Middle East Eye and The National; China customs via Reuters. Stated aims: the White House video and Miller Center transcript of 28 February; Department of War transcripts of 2 and 31 March; White House releases of 1 and 8 April; the Islamabad Memorandum text; Treasury remarks of 24 August and 6 September; contemporaneous reporting by PBS, AP, PolitiFact, CNBC, CNN and Critical Threats for the dates in between. Company figures: second-quarter 2026 releases, 10-Q filings and earnings calls; State Department and Forum on the Arms Trade for foreign military sales. Comp spread on SEC XBRL financials and Schwab prices; short interest from FINRA over SEC cover-page share counts, read against each name's own two-year history. Nothing in this note infers a facility-level vulnerability beyond what GAO, CRS, CSIS or the companies have published; expenditure counts are given only at the precision their sources carry; allied stockpiles appear only as notified quantities. A full source list by section, the provenance of every band, the dated verbatim record of stated aims, and the list of source contradictions resolved before publication are in the research file. Descriptions in Table 1a are the manufacturers' and the Pentagon's own: Missile Defense Agency system pages for THAAD and Aegis BMD; Lockheed Martin product literature for PAC-3 MSE, JASSM and LRASM; RTX product pages for Tomahawk and SM-6; the Navy's Standard Missile fact file; and the Director, Operational Test and Evaluation FY2013 JASSM-ER report for range and warhead — all retrieved 14 September 2026. The production statements in the same table are the company disclosures and CSIS reports cited above.

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